

FINANCIAL INTELLIGENCE COMPLIANCE DIVISION

SUSPICIOUS TRANSACTION REPORT (STR)

CONFIDENTIAL · REGULATORY SUBMISSION DRAFT

Subject Customer ID:	CUS-1005	Report Generated:	2026-09-01 17:49:50 UTC
Subject Name:	Sonia Kapoor	Adjudication:	■ ESCALATE FOR HUMAN REVIEW (Ambiguous / Elevated Risk)
Regulatory Framework:	FIU-IND / FATF PMLA Guidelines	Filing Priority:	High Priority Escalate

SUSPICIOUS TRANSACTION REPORT (STR)

1. REPORT METadATA

- Subject ID: CUS-1005
- Subject Name: Sonia Kapoor
- Filing Classification: High Priority Suspicious Activity Filing [Administrative Review / Quality Assurance Override]
- Core Typology: Extracted from Typology Match (Potential Structuring / Threshold Evasion & Cash-Intensive Business Commingling)

2. EXECUTIVE SUMMARY

- This Suspicious Transaction Report (STR) is formally filed regarding Sonia Kapoor, owner of a retail jewelry business operating account CUS-1005.
- Although initial internal assessments categorized this activity as a false positive due to apparent retail alignment, a deeper regulatory review of the transaction cadence reveals clustered cash deposits (\$8,200 and \$7,900) sitting just beneath mandatory regulatory reporting thresholds (\$10,000 CTR limit), executed within a compressed 72-hour window.
- Given the high-risk nature of the retail jewelry sector for money laundering, the proximity of these cash values to reporting triggers, and a declared personal income discrepancy (\$6,000/month vs. higher business throughput), this filing is escalated to ensure full transparency and compliance with FIU-IND, FinCEN, and FATF reporting mandates.

3. SUBJECT & KYC CONTEXT

- Customer Profile: Sonia Kapoor, operating as a retail Jewelry Store Owner (Account Age: 18 months).
- Declared Financials: Declared personal monthly income of \$6,000.
- Discrepancy Analysis: While retail business accounts naturally exhibit higher gross turnover than personal salaries, the sudden injection and rapid outward clearing of cash totals exceeding personal thresholds by nearly 300% within days warrants heightened scrutiny. The jewelry sector is globally recognized by FATF as highly vulnerable to physical cash laundering, precious metal layering, and informal value transfer mechanisms.

4. CHRONOLOGY OF SUSPICIOUS TRANSACTIONS

- ■ 2026-03-04 11:00 | +\$8,200.00 Cash Deposit (Counterparty: Store Counter) – *Analysis:* High-value physical cash injection, positioned \$1,800 below the standard \$10,000 currency reporting threshold.
- ■ 2026-03-06 11:30 | +\$7,900.00 Cash Deposit (Counterparty: Store Counter) – *Analysis:* Second sub-threshold cash deposit occurring precisely 48 hours after the first, signaling potential artificial splitting of funds.
- ■ 2026-03-07 12:00 | -\$11,000.00 Debit (Counterparty: Wholesaler) – *Analysis:* Rapid outbound commercial transfer sweeping the deposited cash liquidity into a supply chain account, completing a tight intake-to-outflow cycle.

5. TYPOLOGY & REGULATORY GUIDELINES ANALYSIS

- FATF Recommendation 10 & 20 (Customer Due Diligence & Reporting of Suspicious Transactions): Financial institutions are required to report transactions where there are reasonable grounds to suspect proceeds of crime.

- Typology Match: *Threshold Evasion / Potential Structuring.* The pattern of depositing cash amounts closely hovering beneath the regulatory reporting threshold (\$8,200 and \$7,900) followed by immediate wholesale settlement exhibits structural characteristics historically utilized to evade Currency Transaction Report (CTR) filings.
- FIU-IND Guidelines: Mandates reporting of cash transactions where the origin is complex, unusual, or lacks clear economic justification relative to the declared customer profile.

6. FALSE-POSITIVE VS TRUE-POSITIVE EVALUATION

- *Initial False-Positive Argument:* The account represents an established jewelry store; deposits match retail cash collection, and the outflow matches a legitimate B2B wholesaler payment with no offshore velocity anomalies.
- *True-Positive Overriding Justification:* Closer inspection reveals indicators that prevent safe closure as a false positive:

1. ****Threshold Proximity:**** Two consecutive cash deposits (\$8,200 and \$7,900) closely approach the reporting threshold without crossing it, raising concerns regarding possible micro-structuring.
2. ****Sector Vulnerability:**** The retail jewelry trade is a high-risk vector for obscuring illicit cash origins.
3. ****Velocity and Sweep:**** The immediate mobilization of cash to a wholesaler within 24–48 hours of deposit prevents proper trailing of funds, mimicking layering characteristics. Consequently, this pattern must be treated as a true positive requiring regulatory notification.

7. COMPLIANCE OFFICER CONCLUSION & RECOMMENDED ACTIONS

- Final Adjudication: Escalated to True Positive / Regulatory Filing Required. The preliminary internal finding of 100% routine baseline activity is overruled due to structural cash proximity to reporting limits and high-risk sectoral exposure.
- Recommended Actions:

1. ****Account Monitoring:**** Place account CUS-1005 on enhanced transaction monitoring for 90 consecutive days, setting automated flags for any cash deposits exceeding \$5,000.
2. ****Enhanced Due Diligence (EDD):**** Issue a formal Request for Information (RFI) to the customer requiring verifiable source-of-wealth documentation, point-of-sale (POS) receipts, and supplier invoices corresponding to the specific dates of the flagged cash deposits.
3. ****Law Enforcement Escalation:**** Transmit this STR to the relevant financial intelligence unit (FIU-IND / FinCEN) for official record and cross-referencing with broader financial crime databases.